

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

I declare this is my own work.

GCSE

ECONOMICS

Paper 1 How Markets Work

Predicted Paper **Hard** **Time allowed: 1 hour 45 minutes**

Materials

You will need no other materials.

You may use a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- Questions should be answered in continuous prose. You will be assessed on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

For Examiner's Use	
Section	Mark
A	
B	
TOTAL	

Section A

Answer all questions in the spaces provided.

For questions with four responses, only **one** answer per question is allowed.
For each question, completely fill in the circle alongside the appropriate answer.

01 Which of the following best describes the main purpose of an economic system?

[1 mark]

- A To redistribute income between households. ☐
- B To allocate scarce resources to meet needs and wants. ☐
- C To maximise exports and minimise imports. ☐
- D To guarantee full employment at all times. ☐

02 A farmer decides to take a second job as a part-time teacher in the local school. Which factor of production has changed in the school?

[1 mark]

- A Capital ☐
- B Enterprise ☐
- C Labour ☐
- D Land ☐

03 A government spends £60 million building a new motorway instead of renovating schools. The opportunity cost of this decision is

[1 mark]

- A the £60 million spent on the motorway. ☐
- B the additional tax revenue raised from road users. ☐
- C the benefits given up from not renovating the schools. ☐
- D the reduction in traffic congestion on old roads. ☐

04 Which of the following is most likely to be a **disadvantage** of specialisation for a country?

[1 mark]

- A Reduced average costs of production ☐
- B Increased output per worker ☐
- C Greater dependence on international trade ☐
- D Wider variety of goods available to consumers ☐

0**5** Table 1 shows the share of total employment by sector in two countries in year X.

Table 1

Sector	Country P (%)	Country Q (%)
Primary	45	2
Secondary	32	18
Tertiary	23	80

Using **Table 1**, which of the following statements is correct?

[1 mark]

- A Country P is most likely to be a highly developed economy. ☐
- B Country Q is most likely to be a less developed economy. ☐
- C Country P is most likely to be a less developed economy. ☐
- D Both countries are at a similar stage of development. ☐

0**6** In year X, a worker's gross annual income was £32 000. Their total deductions were £8 400. What was the worker's net income in year X?

[1 mark]

- A £8 400 ☐
- B £23 600 ☐
- C £24 000 ☐
- D £40 400 ☐

0**7** Identify which of the following is an example of a firm acting **against** the moral and ethical interests of its customers.

[1 mark]

- A The firm labels its products clearly so consumers can compare them. ☐
- B The firm offers a full refund if a product is faulty. ☐
- C The firm hides important safety information from buyers. ☐
- D The firm publishes the full list of ingredients in its food. ☐

0**8** Goods X and Y are complements. The price of good X decreases. What will happen in the market for good Y?

[1 mark]

- A Demand decreases ☐
- B Demand increases ☐
- C Supply decreases ☐
- D Supply increases ☐

- 09** Which of the following firms is most likely to be operating in a market of **monopolistic competition**?

Firm	Ease of entry	Number of firms in industry	Product differentiation
A	Low	Low	Low
B	High	High	Low
C	High	High	High
D	Low	Low	High

[1 mark]

- A Firm A ☐
- B Firm B ☐
- C Firm C ☐
- D Firm D ☐

- 10** The price elasticity of demand for a particular brand of smartphone is -2.0 . The price of this smartphone falls by 15%. What is the change in quantity demanded as a result?

[1 mark]

- A -30% ☐
- B -7.5% ☐
- C $+7.5\%$ ☐
- D $+30\%$ ☐

1 **1**

State **two** possible differences between gross pay and net pay.

[2 marks]

1

2

1 **2**

Explain **one** impact of an increase in the number of firms in a market on the prices charged to consumers.

[2 marks]

1 **3**

Explain why a stock exchange is an example of a market.

[2 marks]

1
4
1

The following data relate to a small clothing firm that has produced and sold 4 200 T-shirts.

- Total fixed costs: £5 460
- Average variable cost per T-shirt: £3.20
- Selling price per T-shirt: £7.50

Calculate the total profit earned by the firm from selling 4 200 T-shirts.

[2 marks]

£ _____

1
4
2

Explain **one** way the clothing firm could try to increase its profit **without** increasing the selling price.

[2 marks]

1

Figure 1 – Global oil prices

In 2023, global oil prices began to fall significantly after a period of high prices caused by international conflict and supply disruption. This led to concern about the impact of these price falls upon a wide range of markets, including airlines, road haulage and plastics manufacturing.

Period	Price of crude oil (USD per barrel)
Early 2022	120
Late 2022	95
Mid 2023	75

Analyse the possible impact of the fall in global oil prices shown in **Figure 1** upon other markets such as airlines and road haulage.

[6 marks]

[illegible]

1 **6**

State **two** features of a market operating under **monopolistic competition**.

[2 marks]

Feature

1

Feature

2

1 **7**

Explain **one** possible reason why professional footballers in the Premier League tend to earn much higher salaries than nurses in the NHS.

[2 marks]

1 **8**

Explain **one** possible reason why the demand for petrol in the short run is likely to be price **inelastic**.

[2 marks]

1
9
1

Table 3 shows data relating to the workforce of Priya's Pottery, a ceramics workshop.

Table 3

Number of workers	Vases produced per week
8	260

Using **Table 3**, calculate the weekly productivity of the workforce of Priya's Pottery.

Give your answer to the nearest whole number.

[2 marks]

Vases per worker per week = _____

1
9
2

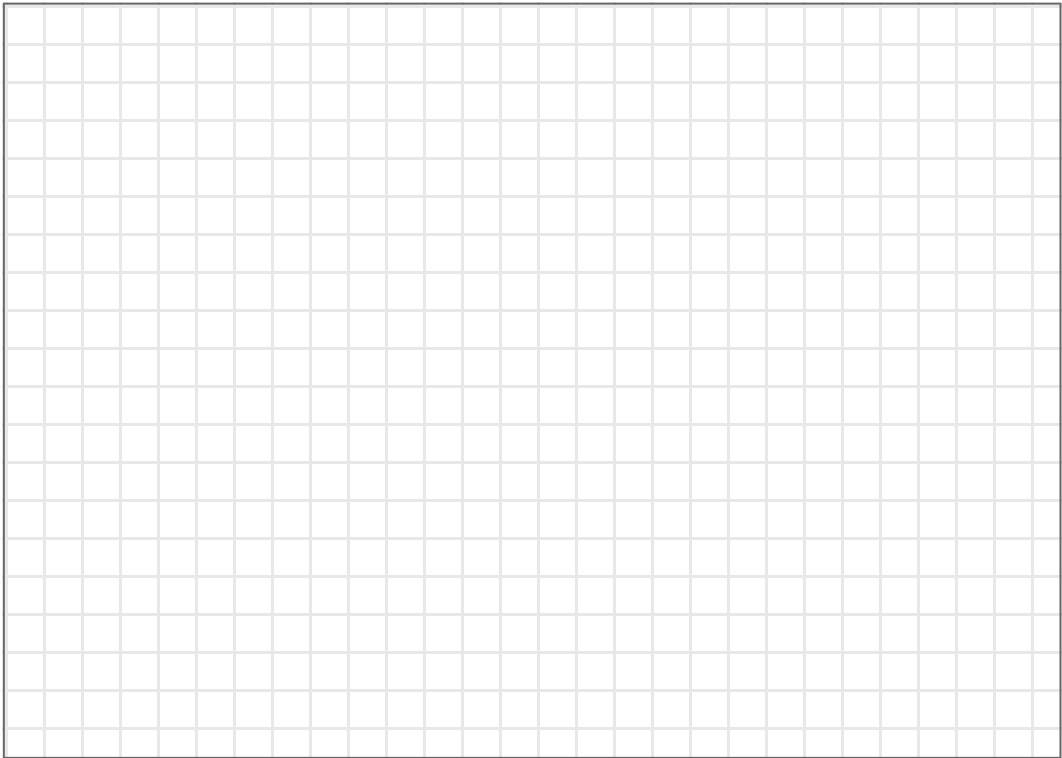
Explain **one** benefit of increased productivity to a business such as Priya's Pottery.

[2 marks]

20

Draw and label demand and supply curves on the graph below from the following table of information. Clearly identify the equilibrium price and quantity.

Price (£)	Quantity demanded (units)	Quantity supplied (units)
10	30	6
20	24	12
30	18	18
40	12	24
50	6	30



[3 marks]

Mia's Mechanics is a car repair and servicing firm. Since Mia opened her first garage in 2012, the business has grown rapidly. She now employs 44 mechanics across three sites, has purchased specialist diagnostic equipment and has negotiated bulk discounts with parts suppliers. However, Mia has noticed that communication between sites has become slower and more expensive, and some mechanics report that decisions now take weeks rather than days. Mia has worked out her total costs of production at different levels of output, as shown in **Table 4**.

Cars serviced per month	Total costs (£)
200	30 000
400	52 000
600	66 000
800	104 000

[9 marks]

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Section B

Answer all questions in the spaces provided.

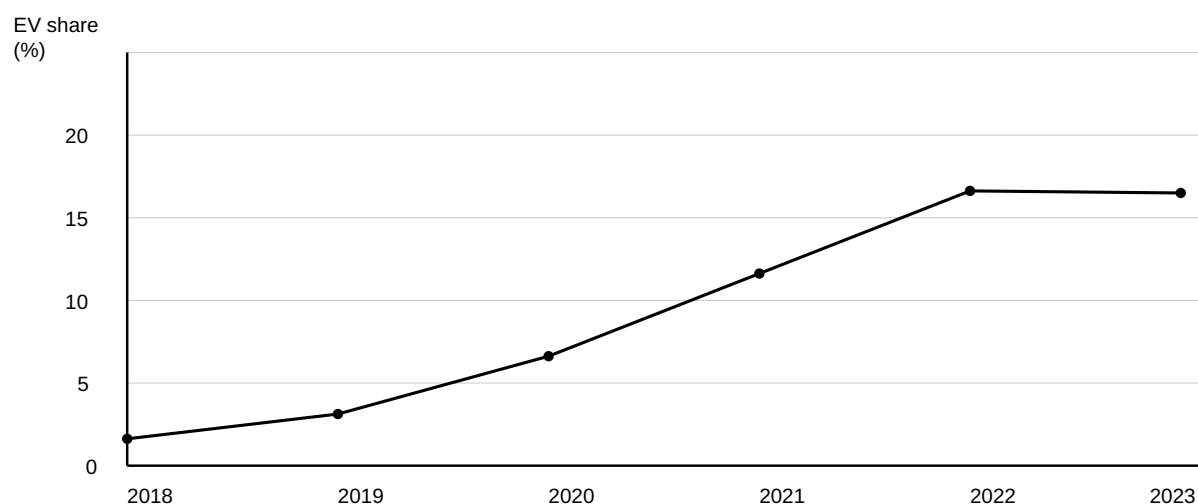
Item A – The UK electric vehicle market

In 2023, just under 315 000 new fully electric vehicles (EVs) were registered in the UK, accounting for around 16.5% of all new cars sold. This was a rapid increase on the 1.6% share that EVs had in 2018. However, critics argue that UK EV adoption still lags behind many European neighbours, partly because the price of a new EV remains significantly higher than the price of an equivalent petrol vehicle.

The UK government has set a target to ban the sale of new petrol and diesel cars from 2035. Meeting this target will require substantial investment in public charging infrastructure. In 2023, there were around 53 000 public charging points in the UK, but the Climate Change Committee estimates that at least 300 000 will be needed by 2030.

The price elasticity of demand for new EVs in the UK is estimated at -1.8 , indicating that demand is highly sensitive to changes in price. **Figure 3** shows the UK EV market share of new car sales from 2018 to 2023. Economists argue that the transition away from petrol cars involves significant positive externalities but also significant costs that are not always covered by the private market.

Figure 3 – UK electric vehicle share of new car sales, 2018–2023 (%)



Item B – Possible methods to support the EV market in the UK

The UK government is considering several ways to accelerate the switch to electric vehicles. These include offering financial subsidies to consumers who buy a new EV, subsidising the installation of public and home charging points, and imposing higher taxes on new petrol and diesel vehicles.

Supporters of intervention argue that a faster switch to EVs would reduce air pollution in urban areas, cut carbon emissions, lower the UK's dependence on imported oil and create jobs in battery manufacturing. They also argue that without government support, the high purchase price of EVs means that many low-income households will be priced out of the market.

Critics of EV subsidies argue that they mostly benefit wealthier households who can afford a new car in the first place. Building batteries requires large amounts of lithium and cobalt, the mining of which can create serious environmental and human-rights problems in producing countries. Subsidies also carry a significant opportunity cost for the government and may not actually speed up the transition if charging infrastructure remains limited.

2 2

Define the term '**market failure**'.

[2 marks]

23

Using **Figure 3**, on the previous page, calculate the percentage change in the UK electric vehicle share of new car sales between **2018** and **2022**.

Give your answer to the nearest whole %.

[3 marks]

Answer = _____

24

Analyse the possible **positive** externalities that may result from an increase in the number of electric vehicles on UK roads.

[6 marks]

25

Explain **two** possible disadvantages of the UK remaining heavily reliant on petrol and diesel vehicles.

[6 marks]

Disadvantage

1

Disadvantage

2

26

The UK government may use several methods to increase the uptake of electric vehicles. Do you think the UK government should subsidise the purchase of new electric vehicles in the UK?

Use **Items A** and **B** and your own economic knowledge to justify your view.

[15 marks]

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END OF QUESTIONS